

Minutes

The Board of the Central Bank of Armenia

(23.09.2014)

September 23, 2014 Refinancing Rate

The September 23, 2014 Board meeting attended by chairman Arthur Javadyan, and board members Arthur Stepanyan, Armenak Darbinyan, Oleg Aghasyan and Vakhtang Abrahamyan

The meeting began with presentation of Situation Report as of September 23, 2014, and current developments in inflation, external, real, fiscal and monetary sectors were discussed.

Inflation in August of 2014 was 0.7% compared with 0.3% inflation recorded for the same period last year, with the 12-month inflation rate having somewhat increased to 0.8% late in the month. The August inflation was mainly due to a 2.2% increase in service tariffs (with around 0.7 percentage point contribution to headline inflation), as well as a 0.13% rise in food prices (with 0.1 percentage point contribution to inflation). Increased prices in "housing, public utilities" made 0.6 percentage point contribution to service prices, while the rise in food prices was mostly due to price increases in groups "vegetable and potatoes", "egg" and "meat products", with a total 0.5 percentage point contribution to inflation. This was however offset by more than 0.3 percentage point price drop in "fruits". According to August results, core inflation was 0.3% and the 12-month core inflation, 0.8%.

With certain activity in economy observed during the third quarter of 2014, the economic growth indicator is an estimated 3.8% y/y as of the end of September compared with 2.6% recorded in late June. In the third quarter, stronger-than-expected growth in the agricultural sector contributed to the acceleration of economic growth, whereas the industry remains sluggish which was the case since the beginning of the year. The private consumption growth rate slightly exceeded expectations as well; for the period January-September, it is an estimated 3.8% y/y, while private investment continues to recover at a slower rate than expected, and for the period January-September, it posted an estimated 2.9% y/y growth instead of the projected 3.1% growth. In the third quarter of 2014, the estimation of fiscal policy's impact was consistent with the prediction, so the impact of the fiscal impulse on aggregate demand will be neutral.

According to January-August 2014 results, exports (trade statistics, FOB), relative to the same period last year, have increased by 1.1%, and imports (trade statistics, CIF), by 3.8%. In the meanwhile, net inflow of non-commercial transfers of individuals via the banking system has decreased by 1.0% y/y.

The Board also discussed financial market developments. Notably, market rates trended downward in line with the reduction of Refinancing Rate of the Central Bank. Thus, as of September 18th, monthly average interest rate on interbank repo was 6.9%, showing 0.2 percentage point reduction against the previous month; in the primary market of government bonds of up to 1 year maturity, average rate was 7.3%

(representing a 0.3 percentage point decrease), and average rate of exchange traded interbank loans was 6.4% (posting a 0.4 percentage point decrease).

In the foreign exchange market of Armenia in August-September of 2014, the Dram's exchange rate behaved differently: as of September 18th, average exchange rate of Armenian dram versus US dollar depreciated by 0.4% against August 13th average to Dram 409.5 per dollar but it appreciated versus Euro by 2.5% to make up Dram 537.7 per euro and it appreciated versus Russian Ruble by 5.3% to Dram 11.1 per ruble.

In the third quarter of 2014, global economic growth remained slow, while uncertainties associated with geopolitical developments persisted. Under such conditions, international markets of both raw materials and food products saw largely deflationary patterns. The food price index of Food and Agriculture Organization, published by FAO on September 11th, dropped in August by 3.6% from the previous month's index (compared to the same period of the previous year, the index had decreased by 3.9%).

According to the Central Bank estimations, in the third quarter average price of Brent crude oil traded at Intercontinental Exchange (ICE) will drop by 5.8% against the previous quarter (representing a 6.1% y/y decrease), whereas copper price traded at the London Metal Exchange will increase by 3.7% q/q (representing a 1.5% y/y decrease). Export price of hard red wheat (the US Department of Agriculture) will fall by 16.9% q/q (a 12.5% y/y decrease) and the New York Board-Intercontinental Exchange (NYB-ICE) traded raw sugar price will fall by 6.2% q/q (a 3.2% decrease).

In the third quarter of 2014, Euro depreciated versus the US dollar by 3.1% but it remained almost unchanged against the same period of the previous year.

After the discussion of Situation Report, the Board began addressing external and domestic macroeconomic developments and the monetary policy directions.

The Board admits that the external demand recovers at a slow pace, and some inflationary pressures, especially on such products as energy and wheat, are observable in world commodity markets under increasing supply factors. Uncertainties over economic prospects in partner countries and those persisting in world commodity markets are significant and are associated with geopolitical developments.

There was some increase in economic activity during the third quarter of 2014, yet economic growth remains low. Despite weak demand in external and domestic economies, the Board agrees that continued loosening of conditions of monetary policy so far implemented by the Central Bank is enough to lead to expanded aggregate demand and rebounded inflation rates in the short run, in expectation of expansionary fiscal policy in the second half of 2014 and introduction of stamp duty on a range of products starting from the fourth quarter. As a result, in the fourth quarter of 2014 and in the first quarter of 2015, the 12-month inflation rate will gradually increase, approaching the target and keeping around it up until the end of the forecast horizon.

In the medium term, in line with external and domestic economic developments, the Central Bank will adjust the directions of monetary policy, while further attaining the inflation target.

At September 23, 2014 meeting, the Board of the Central Bank decided to leave Refinancing Rate unchanged, at 6.75%, while Lombard Repo and Deposit Facility were set at 8.25% and 5.25%, respectively.

Press Service of the Central Bank